



Cambridge International AS & A Level

BUSINESS

9609/11

Paper 1 Business Concepts 1

May/June 2026

MARK SCHEME

Maximum Mark: 40

Published

This mark scheme contains the instructions and marking guidance that our examiners used to mark candidate responses for this component.

Before they start marking, examiners complete a standardisation process. They review a range of candidate responses and discuss the mark scheme in detail to agree which answers can and cannot be accepted. Examiners award marks where it is clear that candidate responses have met the requirements of the mark scheme. These requirements may vary between different components or different versions of the same component, depending on the exact requirements of the question and the candidate responses seen during the standardisation process.

Sometimes, our mark schemes may allow marks to be awarded to responses which contain elements that are factually incorrect or for content not covered by the syllabus. We do this in response to the demands of a specific question to support candidates and make sure that our assessments are fair. However, these allowances should not be used as a guide for teaching and learning.

We cannot discuss the mark scheme with schools, and we recommend that schools read the mark scheme together with the assessment material and the Principal Examiner Report for Teachers.

This document consists of **28** printed pages.

General marking principles

All examiners must apply these marking principles when marking candidate responses.

1	Examiners must award marks for each response in line with: - the specific content defined in the mark scheme - the specific skills defined in the mark scheme or in the level descriptions - the standard of response required as exemplified by the standardisation scripts.
2	Examiners must award whole marks (not half marks, or other fractions).
3	Examiners must award marks positively . This means that: - marks are not deducted for errors or omissions - marks are awarded for correct/valid answers as defined in the mark scheme and also for other valid answers which go beyond the scope of the syllabus and mark scheme referring to your team leader as appropriate - the quality of spelling, punctuation and grammar are judged only when the mark scheme indicates that these features are specifically assessed in the question. However, the meaning of all responses must be unambiguous.
4	Examiners must consistently apply the requirements of the mark scheme and any rules for what to do when candidates have not followed instructions correctly.
5	Examiners must use the full range of marks defined in the mark scheme, unless limited by the quality of the candidate responses seen.
6	Examiners must award marks according to the mark scheme and must not award marks with grade thresholds or grade descriptions in mind.

**Social Sciences-Specific Marking Principles
(for point-based marking)****1 Components using point-based marking:**

- Point marking is often used to reward knowledge, understanding and application of skills. We give credit where the candidate's answer shows relevant knowledge, understanding and application of skills in answering the question. We do not give credit where the answer shows confusion.

From this it follows that we:

- a** DO credit answers which are worded differently from the mark scheme if they clearly convey the same meaning (unless the mark scheme requires a specific term)
- b** DO credit alternative answers/examples which are not written in the mark scheme if they are correct
- c** DO credit answers where candidates give more than one correct answer in one prompt/numbered/scaffolded space where extended writing is required rather than list-type answers. For example, questions that require n reasons (e.g. State two reasons ...).
- d** DO NOT credit answers simply for using a 'key term' unless that is all that is required. (Check for evidence it is understood and not used wrongly.)
- e** DO NOT credit answers which are obviously self-contradicting or trying to cover all possibilities
- f** DO NOT give further credit for what is effectively repetition of a correct point already credited unless the language itself is being tested. This applies equally to 'mirror statements' (i.e. polluted/not polluted).
- g** DO NOT require spellings to be correct, unless this is part of the test. However spellings of syllabus terms must allow for clear and unambiguous separation from other syllabus terms with which they may be confused (e.g. corrasion/corrosion)

2 Presentation of mark scheme:

- Slashes (/) or the word 'or' separate alternative ways of making the same point.
- Semi colons (;) bullet points (•) or figures in brackets (1) separate different points.
- Content in the answer column in brackets is for examiner information/context to clarify the marking but is not required to earn the mark (except Accounting syllabuses where they indicate negative numbers).

3 Calculation questions:

- The mark scheme will show the steps in the most likely correct method(s), the mark for each step, the correct answer(s) and the mark for each answer
- If working/explanation is considered essential for full credit, this will be indicated in the question paper and in the mark scheme. In all other instances, the correct answer to a calculation should be given full credit, even if no supporting working is shown.
- Where the candidate uses a valid method which is not covered by the mark scheme, award equivalent marks for reaching equivalent stages.
- Where an answer makes use of a candidate's own incorrect figure from previous working, the 'own figure rule' applies: full marks will be given if a correct and complete method is used. Further guidance will be included in the mark scheme where necessary and any exceptions to this general principle will be noted.

4 Annotation:

- For point marking, ticks can be used to indicate correct answers and crosses can be used to indicate wrong answers. There is no direct relationship between ticks and marks. Ticks have no defined meaning for levels of response marking.
- For levels of response marking, the level awarded should be annotated on the script.
- Other annotations will be used by examiners as agreed during standardisation, and the meaning will be understood by all examiners who marked that paper.

Annotations guidance for centres

Examiners use a system of annotations as a shorthand for communicating their marking decisions to one another. Examiners are trained during the standardisation process on how and when to use annotations. The purpose of annotations is to inform the standardisation and monitoring processes and guide the supervising examiners when they are checking the work of examiners within their team. The meaning of annotations and how they are used is specific to each component and is understood by all examiners who mark the component.

We publish annotations in our mark schemes to help centres understand the annotations they may see on copies of scripts. Note that there may not be a direct correlation between the number of annotations on a script and the mark awarded. Similarly, the use of an annotation may not be an indication of the quality of the response.

The annotations listed below were available to examiners marking this component in this series.

Annotations

Annotation	Meaning
	Indicates a point which is relevant and rewardable.
	Indicates a point which is inaccurate/irrelevant and not rewardable.
	Indicates knowledge and understanding of the concepts and issues relating to the question.
	Indicates where application is made to an appropriate business context.
	Indicates where the answer has demonstrated analysis – questions 4, 5(a), 5(b), 6(a) and 6(b).
	Indicates where the answer has demonstrated evaluation – (Section B Part (b) questions only).
	Used when the benefit of the doubt is given in order to reward a response.
	Used when the answer or parts of the answer are not answering the question asked.
	Used when parts of the answer are considered to be too vague
	Indicates that content has been recognised but not rewarded.

PUBLISHED

Annotation	Meaning
REP	Indicates where content has been repeated.
L1	Indicates a Level 1 point is made.
L2	Indicates a Level 2 point is made.
L3	Indicates a Level 3 point is made.
Off page comment	Used to view PE comments on practice scripts only – displayed at the bottom of the screen when clicking the comments button/toggle.

Guidance on using levels-based mark schemes

Marking of work should be positive, rewarding achievement where possible, but clearly differentiating across the whole range of marks, where appropriate.

The examiner should look at the work and then make a judgement about which level statement is the best fit. In practice, work does not always match one level statement precisely so a judgement may need to be made between two or more level statements.

Once a best-fit level statement has been identified, use the following guidance to decide on a specific mark:

- If the candidate's work **convincingly** meets the level statement, award the highest mark.
- If the candidate's work **adequately** meets the level statement, award the most appropriate mark in the middle of the range.
- If the candidate's work **just** meets the level statement, award the lowest mark.
- L1, L2 etc. must be clearly annotated on the response at the point where the level is achieved.

Assessment objectives**AO1 Knowledge and understanding**

Demonstrate knowledge and understanding of business concepts, terms and theories.

AO2 Application

Apply knowledge and understanding of business concepts, terms and theories to problems and issues in a variety of familiar and unfamiliar business situations and contexts.

AO3 Analysis

Analyse business problems, issues and situations by:

- using appropriate methods and techniques to make sense of qualitative and quantitative business information
- searching for causes, impact and consequences
- distinguishing between factual evidence and opinion or value judgement
- drawing valid inferences and making valid generalisations.

AO4 Evaluation

Evaluate evidence in order to make reasoned judgements, present substantiated conclusions and, where appropriate, make recommendations for action and implementation.

PUBLISHED**Mark Grids for Section A****Used for Q1(a), Q2(a) and Q3(a)**

Two marks in total can be awarded for these questions. Ticks (✓) are used to show where the candidate has been given these marks.

AO1 Knowledge and understanding	Marks	
Knowledge of the term that demonstrates a clear understanding of the term.	2	Indicated by 2 ✓✓ where appropriate in the answer
Knowledge of the term that demonstrates a partial understanding of the term.	1	Indicated by 1 ✓ where appropriate in the answer
No creditable response.	0	

Used for Q1(b), Q2(b) and Q3(b)

Three marks in total can be awarded for these questions. Ticks (✓) are used to show where the candidate has been given these marks.

AO1 Knowledge and understanding 1 mark	AO2 Application 2 marks
	2 marks Developed application of one relevant point to a business context. Indicated by a further ✓ where appropriate in the answer
1 mark Knowledge of one relevant point is used to answer the question. Indicated by 1 ✓ where appropriate in the answer	1 mark Limited application of one relevant point to a business context. Indicated by 1 ✓ where appropriate in the answer
0 marks No creditable response.	0 marks No creditable response.

PUBLISHED

Question	Answer	Marks
1(a)	Define the term 'buffer inventory'. Indicative content Responses may include: AO1 Knowledge and understanding CLEAR UNDERSTANDING (2 marks) - The minimum/extra stock that should be held to ensure production can still take place /should a delay in delivery occur /should production rates/demand increases (2) Clear understanding of the term is worth 2 marks. This is indicated by 2 ticks ✓✓. PARTIAL UNDERSTANDING (1 mark) - Minimum/extra stock held Partial understanding of the term is worth 1 mark. This is indicated by 1 tick ✓. PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	2

Question	Answer	Marks
1(b)	Explain <u>one</u> advantage to a business of labour intensive operations. THERE ARE 3 MARKS FOR THIS QUESTION – 1 mark for knowledge and understanding and 2 marks for application. Indicative content Responses may include: AO1 Knowledge and understanding – 1 mark for identifying ONE advantage Responses may include: • Lower start-up costs / lower capital barriers • High flexibility/adaptable employees • Customisation/job production • High-value service / high quality • Access to low-cost labour • Avoid maintenance PUT 1 TICK IN BODY OF THE SCRIPT WHERE AN ADVANTAGE IS GIVEN. AO2 Application – 2 marks for a DEVELOPED explanation of ONE advantage – 1 mark for a LIMITED explanation of ONE advantage • Businesses do not need to buy or maintain expensive machinery • Workforce levels and production schedules can be adapted more quickly to changing market demand than reconfiguring an assembly line • Work can be more interesting – employees become more productive • Workers can also be retrained for new tasks more cheaply than replacing heavy equipment • Workers can use initiative, problem-solving skills, and craftsmanship – bespoke, high-quality products • In regions where the cost of labour is low, using workers can be more cost-effective than investing in automation PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	3

PUBLISHED

Question	Answer	Marks
2(a)	Define the term ‘fixed cost’. Indicative content Responses may include: AO1 Knowledge and understanding CLEAR UNDERSTANDING (2 marks) - Fixed costs do not change when a business alters its level of output (of goods or services.) <i>Clear understanding (2 marks)</i>  × 2 Clear understanding of the term fixed cost is worth 2 marks. This is indicated by 2 ticks  . PARTIAL UNDERSTANDING (1 mark) - Costs that do not change. Partial understanding of the term is worth 1 mark. This is indicated by 1 tick . PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	2

Question	Answer	Marks
2(b)	Explain <u>one</u> way that a business may reduce its variable costs. THERE ARE 3 MARKS FOR THIS QUESTION – 1 mark for knowledge and understanding and 2 marks for application. Indicative content Responses may include: AO1 Knowledge and understanding – 1 mark for identifying ONE way. Ways include: • Reduce expenditure • Efficient production • Optimise inventory levels • Lower cost of materials/ Gain discounts from supplier • Reduce waste during production • Outsourcing PUT 1 TICK IN THE BODY OF THE SCRIPT WHERE A WAY IS GIVEN. AO2 Application – 2 marks for DEVELOPED explanation of ONE way. – 1 mark for LIMITED explanation of ONE way. • Expenditure on gas, electricity, water – find cheaper utilities provider. • Expenditure on fuel – alter logistics arrangements. • Buy cheaper raw materials, possibly of lesser quality. • Reduce employees' wages or number of employees if related to the unit cost of each item. • Buy in bulk to gain discounts. • If fewer raw materials are wasted when making each product, the cost of materials per unit will fall. • Reduce overstocking and storage handling fees by implementing demand forecasting tools • Vertical integration – taking over your suppliers • Training workers to make better use of resources / less waste	3

PUBLISHED

Question	Answer	Marks
2(b)	PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	

Question	Answer	Marks
3(a)	Define the term ‘corporate social responsibility (CSR)’. Indicative content Responses may include: AO1 Knowledge and understanding CLEAR UNDERSTANDING (2 marks) • Consideration of social, ethical, and environmental concerns as a business objective • Taking responsibility for the impact of their decisions/activities on stakeholders. Clear understanding of the term corporate social responsibility (CSR) is worth 2 marks. This is indicated by 2 ticks ✓✓. PARTIAL UNDERSTANDING (1 mark) Identification of part of the answer • Businesses that are interested in the environment/ethics/society/fair treatment of employees (1) Partial understanding of the term is worth 1 mark. This is indicated by 1 tick ✓. PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	2

Question	Answer	Marks
3(b)	Explain <u>one</u> benefit to a business of setting objectives. <i>THERE ARE 3 MARKS FOR THIS QUESTION – 1 mark for knowledge and understanding and 2 marks for application</i> Indicative content Responses may include: AO1 Knowledge and understanding – 1 mark for identifying ONE benefit. Reasons include: • Provide focus/direction/ coordinate • Increase revenue • Motivate staff • Prioritise resources • Increase efficiency • Accountability • Enable measurement of progress and success • Drives innovation • Enables adaption to market changes / customer needs / changes in the economy PUT 1 TICK IN THE BODY OF THE SCRIPT WHERE A BENEFIT IS GIVEN. AO2 Application – 2 marks for DEVELOPED explanation of ONE benefit. – 1 mark for LIMITED explanation of ONE benefit. • Employees are more invested in work when they have a clear objective to achieve/work toward. • Revenue can increase when specific sales objectives are met • Gives the business direction so collectively they know what to focus on • Customer satisfaction increases when measurable quality improvements are in place • Accountability enables managers to take ownership of successes and failures • Enables business to know where best to allocate resources to meet objectives • Enables businesses to reflect on whether an objective was met and if not what they could do better in future • Challenging employees to meet an objective can lead to innovative solutions to problems	3

PUBLISHED

Question	Answer	Marks
3(b)	PUT 1 or 2 TICKS IN THE BODY OF THE SCRIPT. Accept all valid responses.	

Question	Answer	Marks
4	Analyse <u>one</u> implication for a business of high labour turnover. Indicative content Responses may include: Knowledge and understanding – 1 mark for identifying ONE implication. Disadvantages include: • Recruitment and selection costs • Training costs • Poor output levels/customer service • Difficult to establish customer relationships • Team spirit/morale/motivation • Losing experience/specialised knowledge/skilled employees Advantages include: • Fresh perspectives and innovation • Removal of negative influences • Updated skills or expertise • Reduced resistance to change • Lower wage costs Application – 2 marks for a DEVELOPED application of ONE implication. – 1 mark for LIMITED application of ONE implication. Disadvantages: • Recruitment and selection involves advertising, interviewing	5

Question	Answer	Marks
4	• Training such as induction, on and off-the-job • Poor output/customer service as not enough staff to carry out job • Customer relations require regular contact with employees so relations can develop • Team spirit is dependent on building relationships with fellow employees • Morale can be affected by having to take on extra work when staff leave Advantages: • New employees bring diverse backgrounds, fresh ideas, and "new blood" • Turnover allows a business to shed underperforming, uninvested, or toxic employees • Provides an opportunity to hire individuals with updated skills or expertise that the current workforce lacks • New hires are often more adaptable and less resistant to organisational restructuring • New, less experienced employees may be willing to accept lower starting salaries Analysis – 2 marks for DEVELOPED analysis of ONE implication – 1 mark for LIMITED analysis of ONE implication. Disadvantages: • The recruitment process is expensive which can increase business costs, money could have been used elsewhere • Training may require hiring specialists which is expensive • Poor output /customer service could lead to customers going elsewhere, reducing sales, lost orders • Poor team spirit can further increase labour turnover and sickness, and increase costs further • Low morale can impact productivity, more mistakes, impact on quality Advantages: • Innovation can lead to competitive advantage • Toxic staff may be damaging company culture or productivity. • New skills can help the business keep pace with technological or market changes. • Lower salaries can reduce overall payroll expenses. Accept all valid responses.	

Question	Answer	Marks
5(a)	Analyse <u>two</u> advantages to a business of using job production. Indicative content Responses may include: AO1 Knowledge and understanding – 1 mark for identifying ONE advantage. Advantages include: • Take on specialist / unique projects • Motivated workers • Meets customers' requirements/ customer satisfaction • High quality products • Flexibility in production • Customer loyalty AO2 Application – 1 mark for application/explanation of ONE advantage. • Specialist projects often have high added value • Motivated workers due to their work being highly skilled and interesting • Meets customers' requirements as is tailored to their exact needs • High quality products enable premium prices to be charged • Flexibility in production enables the business to cater for a wide range of products.	8

PUBLISHED

Question	Answer	Marks
5(a)	AO3 Analysis – up to 2 marks for analysis of ONE advantage – 2 marks for DEVELOPED analysis of ONE advantage (L2 AN) or 1 mark for LIMITED analysis of ONE advantage (L1 AN). • High added value can mean high profit margins • Motivated workers would often be more productive and happier at work leading to less sickness / labour turnover • Meeting the exact needs of the customers can lead to high customer satisfaction and customer loyalty. • Premium prices will enable high revenues to be earned • Flexibility in production means the business can react very quickly to customer demands and remain competitive in the market. Accept all valid responses.	

PUBLISHED

Question	Answer	Marks
5(b)	‘Mass customisation has an important impact on the success of a sports footwear manufacturer.’ Evaluate this view. Indicative content Responses may include: AO1 Knowledge and understanding – 2 marks for DEVELOPED knowledge and understanding (L2 K) – 1 mark for LIMITED knowledge and understanding (L1 K) • specific understanding of mass customisation – the use of flexible computer-aided production systems to produce items to meet individual customers requirements at mass-production cost levels • different measures of success within a business i.e. profitability, customer satisfaction, market share, revenues, growth, employee satisfaction AO2 Application – 2 marks for DEVELOPED application (L2 APP) – 1 mark for LIMITED application (L1 APP) • sports footwear terms e.g. trainers, running, football, basketball, plays • able to design unique arch heights or width of trainer • custom insoles can be included • optimise athletic performance • can make footwear waterproof • can include club flags or logos • named businesses e.g. Nike, Adidas, New Balance, Reebok	12

Question	Answer	Marks																								
5(b)	AO3 Analysis – 2 marks for DEVELOPED analysis (L2 AN) – 1 mark for LIMITED analysis (L1 AN) • Requires multi-skilled workers whereby the work would be more interesting leading to motivation and better employee retention • Low unit costs enables higher profit margins • Meets customers’ requirements leading to customer satisfaction and customer loyalty • Can mean expensive product redesign which could lead to higher costs in the short term • Expensive capital equipment required due to requiring latest technology • Higher added value and a competitive advantage • Allows differentiated marketing which allows higher added value AO4 Evaluation – 6 marks for evaluation (EVAL) <table><tr><td>DEVELOPED evaluation IN context:</td><td>Developed/Supported judgement in context</td><td>(L3 EVAL)</td><td>SIX marks</td></tr><tr><td>DEVELOPED evaluation IN context:</td><td>Developed/Reasonable evaluative comments in context</td><td>(L3 EVAL)</td><td>FIVE marks</td></tr><tr><td>DEVELOPED evaluation NOT in context:</td><td>Developed/Supported judgement without context</td><td>(L2 EVAL)</td><td>FOUR marks</td></tr><tr><td>DEVELOPED evaluation NOT in context:</td><td>Developed/Reasonable evaluative comments without context</td><td>(L2 EVAL)</td><td>THREE marks</td></tr><tr><td>LIMITED evaluation NOT in context:</td><td>Limited supported judgement</td><td>(L1 EVAL)</td><td>TWO marks</td></tr><tr><td>LIMITED evaluation NOT in context:</td><td>An attempt to balance the arguments/Weak attempt at evaluative comments</td><td>(L1 EVAL)</td><td>ONE mark</td></tr></table>	DEVELOPED evaluation IN context:	Developed/Supported judgement in context	(L3 EVAL)	SIX marks	DEVELOPED evaluation IN context:	Developed/Reasonable evaluative comments in context	(L3 EVAL)	FIVE marks	DEVELOPED evaluation NOT in context:	Developed/Supported judgement without context	(L2 EVAL)	FOUR marks	DEVELOPED evaluation NOT in context:	Developed/Reasonable evaluative comments without context	(L2 EVAL)	THREE marks	LIMITED evaluation NOT in context:	Limited supported judgement	(L1 EVAL)	TWO marks	LIMITED evaluation NOT in context:	An attempt to balance the arguments/Weak attempt at evaluative comments	(L1 EVAL)	ONE mark	
DEVELOPED evaluation IN context:	Developed/Supported judgement in context	(L3 EVAL)	SIX marks																							
DEVELOPED evaluation IN context:	Developed/Reasonable evaluative comments in context	(L3 EVAL)	FIVE marks																							
DEVELOPED evaluation NOT in context:	Developed/Supported judgement without context	(L2 EVAL)	FOUR marks																							
DEVELOPED evaluation NOT in context:	Developed/Reasonable evaluative comments without context	(L2 EVAL)	THREE marks																							
LIMITED evaluation NOT in context:	Limited supported judgement	(L1 EVAL)	TWO marks																							
LIMITED evaluation NOT in context:	An attempt to balance the arguments/Weak attempt at evaluative comments	(L1 EVAL)	ONE mark																							

PUBLISHED

Question	Answer	Marks
5(b)	<i>A judgment/conclusion is made as to whether mass customisation has the most significant impact on the success of a sports footwear manufacturer.</i> <i>These judgements/conclusions may be made at any point in the essay, not only in a concluding section.</i> • What would be classed as success for this type of business e.g. brand leader? • Would success be increasing number of sales, value of sales, market share? • How important is mass customisation within the sports footwear market? • It may depend on the business objectives. • It may depend on whether the business can finance the new technology. • Will the business have to compromise on quality to satisfy specific customers' needs Accept all valid responses.	

Question	Answer	Marks
6(a)	Analyse <u>two</u> advantages to a business of niche marketing. Indicative content Responses may include: AO1 Knowledge and understanding – 1 mark for identifying ONE advantage (K) • Less competition • Sell at high prices • Exclusivity/brand image • Cheaper advertising costs • More efficient marketing • Business become experts • Clear focus • Extend product range into other niche markets • Customer loyalty AO2 Application – 1 mark for application of ONE advantage (APP) • Small firms can find a section of the market not identified by larger firms • High prices can be charged as no-one else sells the product • Customers like to buy exclusive products • Less marketing due to small customer base • Business become experts due to knowledge of a very specialised product • Clear focus due to targeting very specific customers	8

Question	Answer	Marks
6(a)	AO3 Analysis – up to 2 marks for analysis of each advantage – 2 marks for DEVELOPED analysis of each advantage (L2 AN) – 1 mark for LIMITED analysis of each advantage (L1 AN) • By identifying sections of the market not identified by larger firms it allows businesses to thrive and grow through increased sales • High prices can lead to high profit margins for businesses • Exclusive products often enable strong customer loyalty to develop • Reduced marketing costs can increase profits • Being experts and providing excellent customer service can lead to strong customer relationships and loyalty /attract new customers • Clearly focused on specific customers means the business won't waste time/money/resources on wrong markets Accept all valid responses.	
6(b)	Having a unique selling point (USP) is the most important part of the marketing mix for the success of a mobile phone manufacturer.' Evaluate this view. Indicative content Responses may include: AO1 Knowledge and understanding – 2 marks for DEVELOPED knowledge and understanding (L2 K) – 1 mark for LIMITED knowledge and understanding (L1 K) • The marketing mix is a strategic framework used by businesses to bring a product or service to market. It is traditionally centred around the 'Four Ps'—Product, Price, Place, and Promotion—which are adjusted to meet the needs of a target audience, differentiate from competitors, and drive sales • Specific understanding of USP – the special feature of a product that differentiates it from competitor's products • Business success is the achievement of predetermined goals, encompassing both financial profitability and non-financial milestones.	12

Question	Answer	Marks
6(b)	AO2 Application – 2 marks for DEVELOPED application (L2 APP) – 1 mark for LIMITED application (L1 APP) • Named business e.g. Apple, Samsung, Vivo, can be country specific • Key phone related terms such as battery life, camera, pixels, cell, apps, bundles • The physical device and software must deliver on the promise. A flawless, bug-free User Interface (UI) is just as critical as the hardware differentiators. • Offering competitive specs (processors, RAM, storage) for the cost. • Providing an intuitive user interface, reliable operating systems, and access to robust app stores. • Delivering excellent battery life, durable build materials, and strong network/cellular connectivity. • Equipping the device with high-resolution sensors, video stabilisation, and quality displays for media consumption. • Committing to extended OS upgrades and security updates to enhance device lifespan. AO3 Analysis – 2 marks for DEVELOPED analysis (L2 AN) – 1 mark for LIMITED analysis (L1 AN) • Clear differentiation compared to your competitors means you gain a competitive advantage by creating a barrier to entry for other businesses • USP helps to develop a brand identity as it shapes the perception of the business in the minds of customers • Enables customer loyalty in a very competitive market and increased revenues • Having a USP means the phone may sell itself through word of mouth, hence easier to market • Encourages business to constantly innovate which can lead to premium pricing due to added value • May choose to compare those elements of the marketing mix considered to be more applicable to this type of business e.g. promotion • Could look at the benefits and limitations of all elements of marketing mix which could lead to success of the business	

Question	Answer				Marks
6(b)	AO4 Evaluation – 6 marks for evaluation (EVAL)				
	DEVELOPED evaluation IN context:	Developed/Supported judgement in context	(L3 EVAL)	SIX marks	
	DEVELOPED evaluation IN context:	Developed/Reasonable evaluative comments in context	(L3 EVAL)	FIVE marks	
	DEVELOPED evaluation NOT in context:	Developed/Supported judgement without context	(L2 EVAL)	FOUR marks	
	DEVELOPED evaluation NOT in context:	Developed/Reasonable evaluative comments without context	(L2 EVAL)	THREE marks	
	LIMITED evaluation NOT in context:	Limited supported judgement	(L1 EVAL)	TWO marks	
	LIMITED evaluation NOT in context:	An attempt to balance the arguments/Weak attempt at evaluative comments	(L1 EVAL)	ONE mark	
<i>A judgment/conclusion is made as to whether having a unique selling point (USP) is the most important element of the marketing mix.</i> <i>These judgements/conclusions may be made at any point in the essay, not only in a concluding section.</i> • What would be classed as success for this type of business? • Would success be increasing number of sales, value of sales, market share? • How important is having an USP for this type of business? How similar are other brands phones? Is promotion the key factor that leads to success in this specific market? • How important are other factors set by the mobile phone providers such as rental, special offers, bundles? • A conclusion that in this specific type of market there are very fine lines between each competitors products and all factors of the marketing mix are important. • It may depend on if the manufacturer is already established or relatively new to the market Accept all valid responses.					

PUBLISHED**Mark Grids for Section B****Used for Q5(a) and Q6(a)**

Level	AO1 Knowledge and understanding 2 marks	AO2 Application 2 marks	AO3 Analysis 4 marks
2			3–4 marks Developed analysis - Developed analysis that identifies connections between causes, impacts and/or consequences of two points. - Developed analysis that identifies connections between causes, impacts and/or consequences of one point.
1	1–2 marks - Knowledge of two relevant points is used to answer the question. - Knowledge of one relevant point is used to answer the question.	1–2 marks - Application of two relevant points to a business context. - Application of one relevant point to a business context.	1–2 marks Limited analysis - Limited analysis that identifies connections between causes, impacts and/or consequences of two points. - Limited analysis that identifies connections between causes, impacts and/or consequences of one point.
0	0 marks No creditable response.	0 marks No creditable response.	0 marks No creditable response.

PUBLISHED**Mark Grids for Section B****Used for Q5(b) and Q6(b)**

Level	AO1 Knowledge and understanding 2 marks	AO2 Application 2 marks	AO3 Analysis 2 marks	AO4 Evaluation 6 marks
3				5–6 marks Developed evaluation in context - A developed judgement/conclusion is made in the business context. - Developed evaluative comments which balance some key arguments in the business context.
2	2 marks Developed knowledge of relevant key term(s) and/or factor(s) is used to answer the question.	2 marks Developed application of relevant point(s) to the business context.	2 marks Developed analysis that identifies connections between causes, impacts and/or consequences.	3–4 marks Developed evaluation - A developed judgement/conclusion is made. - Developed evaluative comments which balance some key arguments.
1	1 mark Limited knowledge of relevant key term(s) and/or factor(s) is used to answer the question.	1 mark Limited application of relevant point(s) to the business context.	1 mark Limited analysis that identifies connections between causes, impacts and/or consequences.	1–2 marks Limited evaluation - A judgement/conclusion is made with limited supporting comment/evidence. - An attempt is made to balance the arguments.
0	0 marks No creditable response.	0 marks No creditable response.	0 marks No creditable response.	0 marks No creditable response.